

26STCV15074 26STCV15074

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26STCV15074

MTN High, LLC v. Hueco Tanks, LLC, et al.

Tuesday,

July 28, 2026

[TENTATIVE] ORDER GRANTING PLAINTIFF'S MOTION TO COMPEL
ARBITRATION; TO ESTABLISH ARBITRATOR SELECTION PROCEDURE OR APPOINT ARBITRATOR
IF NECESSARY; AND TO STAY NONPROVISIONAL COURT PROCEEDINGS ON ARBITRABLE ISSUES

I. BACKGROUND

The

action arises from Defendant's alleged failure to make installment payments on
Defendants' purchase of a training facility sold by Plaintiff.

Plaintiff

moves to compel arbitration of all disputes based on the arbitration provision
in the Asset Purchase Agreement. Defendants have indicated a willingness to
arbitrate but an arbitrator has not been selected.

Plaintiff

timely served the motion on Defendants who did not file an opposition.

II. LEGAL STANDARDS

The court can order the parties to arbitrate

the matter on petition of a party to an arbitration agreement. (Code Civ. Proc., § 1281.2.) The petitioner's burden is to

establish that a valid arbitration agreement exists. The opposing party's burden is to establish a defense to enforcement based on a preponderance of evidence. (*Molecular Analytical Systems v. CIPHERGEN Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 705.)

Courts apply state law to determine who is bound by an arbitration agreement and who may enforce it. (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7); *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 410 ["Because the California procedure for deciding motions to compel [arbitration] serves to further, rather than defeat, full and uniform effectuation of the federal law's objectives, the California law, rather than section 4 of the USAA, is to be followed in California courts."].)

III.

DISCUSSION

A.

Plaintiff has shown the existence of an arbitration agreement.

Plaintiff

submits the parties' Asset Purchase Agreement attached to the verified complaint. The provision is broad in scope and includes the claims raised in Plaintiff's complaint:

"Any dispute, claim, or controversy arising out of or relating to this Agreement, the breach thereof, or the parties' relationship (a "Dispute") shall be resolved by binding arbitration conducted in the State of California." (*Sofris Decl.*, APA, § 14.3.)

B. Appointment of an arbitrator

The agreement does not provide for a method of appointing an arbitrator. Therefore, the parties can agree on a method, or if that method fails or when an appointed arbitrator fails to act, the Court shall appoint the arbitrator. (Code Civ. Proc., § 1281.6.)

Plaintiff requests that the Court order the parties to meet and confer within five court days regarding a neutral arbitrator and, if appropriate, an arbitration administrator. If the parties

cannot agree to an arbitrator, the Court should establish an appointment procedure. (Mot. 10:24-26.)

IV. CONCLUSION

Based on the foregoing, Plaintiff's motion is GRANTED. The Court stays this action until completion of arbitration. The parties are ordered to meet and confer within five court days of this date regarding the selection of a neutral arbitrator. If the parties cannot agree, the parties shall file jointly with the Court, a list of 10 potential arbitrators. The joint list shall be filed by August 26, 2026.

From that list, the Court will nominate five arbitrators from which the parties can make their selection and notify the Court of their selection. (Id.) If the parties cannot agree, the Court will select the arbitrator. (Id.)

The Court sets an order to show cause re selection of arbitrator for September 3, 2026, at 8:30 a.m.